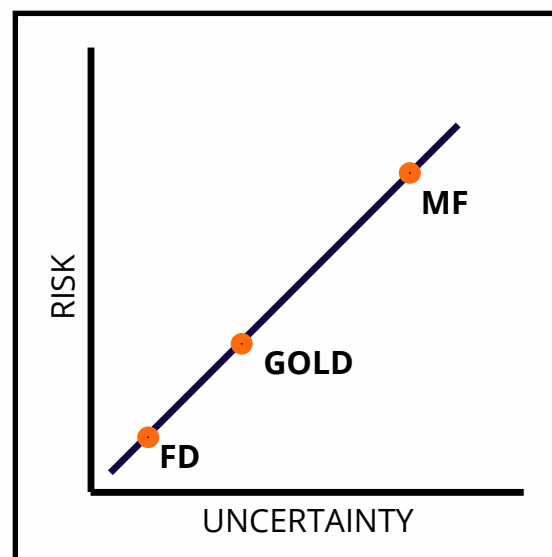


RISK

INTRODUCTION

The next element of RRTTLLU principle is risk. Return goals and risk are the two most important components of the RRTTLLU principle and the entire lazy financial canvas. First, let us understand what we mean by risk? Risk is simply the degree of uncertainty based on our decisions. Here, we are talking about risks from the financial point of view and it talks about the degree of uncertainty of the outcome. Higher the uncertainty, higher is the risk. It refers to the times we cannot predict the outcome.



FIXED DEPOSIT



Low Uncertainty
Low Risk

GOLD



Moderate Uncertainty
Moderate Risk

MUTUAL FUNDS



High Uncertainty
High Risk

Moreover, risk is relative. This means that one asset is more or less risky in relation to other assets. In itself, we can't judge riskiness. We evaluate risk in comparison with other asset classes.